

Robinhood Markets, Inc.

HOOD NASDAQ

Buy	\$112.94 ▼ 0.35%	12M Price Target \$135.00	52-Week Range \$63.52 – \$153.86	Market Cap \$101.54B
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HOOD: Clarity Act Vote Could Unlock Crypto Rerating

WHAT HAPPENED

- HOOD has quietly bled ~7.5% over the past week (from \$122 to \$113) even though August operating figures were reportedly strong — that's a "sell the news" tell, meaning traders were already positioned for good numbers and took profits.
- Two overlapping regulatory stories hit at once: the Clarity Act (crypto market structure bill) is heading for a vote next week — that's a potential tailwind — while Zacks flagged fresh scrutiny of HOOD's "stock tokens" (tokenized shares of private companies traded on-chain) as a potential headwind. The market is trying to price both.

WHY IT MATTERS

Here's the read: the pullback isn't fundamental — it's positioning ahead of a binary catalyst. If the Clarity Act passes, HOOD becomes one of the biggest winners because it legally defines which crypto assets are commodities (CFTC turf, friendlier) vs. securities (SEC turf, hostile) — that lifts the regulatory cloud over their crypto trading business, which is a huge revenue driver. The Motley Fool piece about HOOD acting like an investment bank in IPOs is the sleeper story — they're trying to become a full-stack financial platform, not just a trading app, and that justifies a higher multiple over time. Near-term though, the options market is flashing bearish (put/call of 0.31 is deceiving — the unusual activity is heavy in puts at \$115 and \$127), so someone with real money is hedging into the Fed meeting and the Clarity vote.

POLICY & POLITICAL WATCH

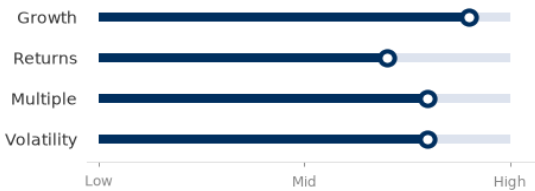
The Clarity Act vote is THE catalyst this week — it's the House bill that would draw clear lines between SEC and CFTC jurisdiction over crypto, and passage would be a green light for HOOD to expand tokenized assets, stablecoin products, and 24/7 trading without regulatory whiplash. On the other side, the SEC is still circling HOOD's stock tokens (which let Europeans trade tokenized shares of OpenAI, SpaceX, etc.) — if US regulators formally block that product line here, it caps international expansion. Also watch the Fed: a rate hike (now "close to a lock" per IBD) actually helps HOOD because they earn net interest income on customer cash balances — every 25bps is meaningful to their bottom line.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$112.94
12M Price Target	\$135.00
Upside / (Downside)	+19.5%
Market Cap	\$101.54B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,100M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.60
Fwd P/E	61.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$125.00	\$115.00	\$100.00
6 Months	\$145.00	\$125.00	\$95.00
1 Year	\$165.00	\$135.00	\$85.00
2 Years	\$210.00	\$160.00	\$75.00
5 Years	\$320.00	\$220.00	\$60.00
10 Years	\$500.00	\$300.00	\$40.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+1.39%) and Comm Services (+1.22%) are leading — risk-on tone despite Fed uncertainty, which usually helps HOOD since retail trading activity correlates with tech sentiment.

COOLING OFF: Financials only up 0.56% and down 2.34% on the week — traditional banks are lagging, which actually helps the HOOD narrative that it's a fintech, not a bank.

ROTATION WATCH: Money is rotating INTO growth tech and OUT of rate-sensitive value — that's a mixed setup for HOOD (helps the fintech multiple, but a hawkish Fed could reverse it fast).

RELATED PLAY: If HOOD's crypto thesis works, Coinbase (COIN) benefits even more directly from Clarity Act passage — they're the purer-play bet on the same legislation.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Same Clarity Act tailwind, more direct crypto exposure — often leads HOOD on regulatory news.
- SCHW (Schwab): Benefits from same rate-hike setup on net interest income, but without the crypto optionality — the "boring" version of the trade.

HOOD CONTEXT: HOOD is lagging its crypto-fintech peers this week, which tells me the selloff is HOOD-specific (stock token scrutiny) rather than sector-wide. That's actually constructive — if the Clarity Act passes, HOOD has more room to catch up than peers that already ran.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup but the binary Clarity Act vote next week means I'd rather wait for the news than front-run it.

POSITION SIZE: 2-4% — the volatility (52-week range of \$63 to \$154) is real, so size accordingly.

ENTRY POINTS: \$105-110 on any Fed-week wobble is my add zone; if it breaks \$100, that's a gift.

TIME HORIZON: 12-24 months — the real story is HOOD becoming a full-stack financial platform (IPOs, crypto, prediction markets, retirement), and that takes time to show up in earnings.

WHEN TO BAIL: If the Clarity Act dies AND stock tokens get formally shut down by the SEC, thesis is broken — trim aggressively.

HEDGING: If you're nervous into the vote, buy a small amount of \$105 puts as insurance — think of it as a \$2-3 premium to protect a \$110+ position for a few weeks.